



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
980 9th Street, Suite 500
Sacramento, CA 95814
Phone: 916-324-8176 | Fax: 916-255-5241
www.DMHC.ca.gov

March 3, 2026

VIA ELECTRONIC MAIL

Jessica Castillo
Health Net of California, Inc.
21281 Burbank Blvd.
Woodland Hills, CA 91367

Re: Proposed Contract Termination with Adventist Health Tehachapi Valley
Block Transfer Filing No. 2026-HOSP-250
Filed on February 26, 2026

Dear Ms. Jessica Castillo,

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Health Net of California, Inc.** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Adventist Health Tehachapi Valley** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **April 15, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Regarding the Enrollee Transfer Notice submitted for this Filing, the following information was found missing. Please resubmit the Enrollee Transfer Notice for the Department's review to include the following:
 - a. The enrollee notice that was submitted was for Adventist Health Simi Valley. Please submit the enrollee transfer notice for Adventist Health Tehachapi Valley.

[Plan Response: The Plan has corrected this issue and has attached the appropriate Enrollee Transfer Notice specific to Adventist Health Tehachapi Valley for the Department's review.](#)

Protecting the Health Care Rights of More Than 30.2 Million Californians
Contact the DMHC Help Center at 1-888-466-2219 or www.DMHC.ca.gov

2. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.

Plan Response: The Plan confirms that it will utilize the most recently approved eFiling Enrollee Transfer Notice templates for this Block Transfer Filing.

3. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.

Plan Response: The Plan confirms that it will not transition enrollees or issue Enrollee Transfer Notices without prior approval from the Department.

4. The Plan indicated on the Block Transfer Filing Form that the hospital termination is part of the Adventist Health System West termination. Please confirm if the contract is a stand-alone contract.

Plan Response: The Plan confirms that the contract is not a stand-alone contract.

5. The Plan indicates that the DCN will use Alternate Hospital, BAKERSFIELD MEMORIAL HOSPITAL, listed within the filing. The Plan indicates that zero PCPs and zero Specialists have admitting privileges to the proposed Alternate Hospital. In the Enrollee Access section of the filing, the Plan explained that enrollees will be admitted via regular admitting pattern. Please confirm the following for the Plan's enrollees:

- a. The name of the hospitalist group(s),
- b. The number of associated hospitalists, and
- c. If the hospitalists can admit enrollees for any medically necessary services.

Plan Response: The Plan confirms that Bakersfield Memorial Hospital utilizes hospitalists for inpatient admissions and maintains hospital-based admitting coverage.

The Plan confirms that the facility supports an Internal Medicine Residency Program and that inpatient services are routinely managed by hospital-based physicians.

The Plan confirms that enrollees accessing Bakersfield Memorial Hospital will be admitted through the hospital's established hospitalist admitting process.

The Plan confirms that it does not maintain information regarding the name of the hospitalist group(s) or the number of associated hospitalists, as hospitalist programs are operated and managed by the hospital.

The Plan confirms that hospital-based physicians at Bakersfield Memorial Hospital are authorized to admit and manage patients for all medically necessary inpatient services in accordance with the hospital's standard admitting practices.

6. The Plan indicated that the DCN will use only one out of the three Alternate Hospitals within this filing. Please confirm whether the DCN or another medical group, that was not listed, utilizes either of the other two Alternate Hospitals. If so, please identify those facilities and describe their role in providing covered services.

Plan Response: The Plan confirms that Directly Contracted Network (DCN) is not impacted by the pending hospital termination and was selected solely because a provider group must be identified in the Enrollee Access section of the Block Transfer Filing Form in order for the filing to be submitted. The Plan confirms that DCN does not exclusively utilize a single Alternate Hospital. The Plan confirms that the Plan's network includes all three Alternate Hospitals identified in this filing and that enrollees may be directed to any of the three facilities, as appropriate, to ensure continuity of covered hospital services following the termination.

7. The Plan's PPO line of business is licensed by the Department. Please confirm the following:

- a. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15 mile radius of the Terminating Hospital.

Plan Response: The Plan confirms that it will send a Department-approved Enrollee Transfer Notice to all PPO enrollees residing or working within a 15-mile radius of the Terminating Hospital.

8. The Department notes that the Plan has chosen Directly Contracted Network (DCN) as a group that admits to the Terminating Hospital, for the Enrollee Access section of the Block Transfer Filing Form. The Department also notes that the Plan has stated there are no impacted medical groups. Please state whether DCN is impacted by the pending termination or if DCN was selected because a provider group must be chosen for Enrollee Access section of the Block Transfer Filing Form.

Plan Response: The Plan confirms that Directly Contracted Network (DCN) is not impacted by the pending hospital termination and was selected solely because a provider group must be identified in the Enrollee Access section of the Block Transfer Filing Form in order for the filing to be submitted.

9. For each Alternate Hospital, please summarize or confirm the following:

- a. The Plan contacted the hospital regarding the Block Transfer,

Plan Response: The Plan confirms that it did not contact the Alternate Hospitals regarding this Block Transfer due to ongoing contract negotiations that are nearing finalization.

- b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer,

Plan Response: The Plan confirms that no concerns were expressed by the Alternate Hospitals, as no outreach was conducted.

The Plan confirms that based on historical utilization, network experience, and available capacity information, it does not anticipate any access or capacity issues.

- c. Whether the Plan has sent or received a notice of contract termination from the Alternate Hospital, and if so, whether that contract is set to terminate within the next six months.

Plan Response: The Plan confirms that it has not sent or received any notices of contract termination from the Alternate Hospitals and that none are scheduled to terminate within the next six months.

- 10. Please confirm whether the HMO providers that routinely utilize the Terminating Hospital have adequate admitting privileges for PCPs and specialists to at least one of the identified Alternate Hospitals containing all services that will be lost should the contract ultimately terminate.

Plan Response: The Plan confirms that HMO providers that routinely utilize the Terminating Hospital have adequate admitting arrangements at at least one of the identified Alternate Hospitals for all services that would be lost should the contract terminate. The Plan confirms that based on historical utilization, there were no admissions or bed days associated with HMO providers at the Terminating Hospital during the most recently completed calendar year.

- 11. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:

- a. Any out-patient or in-patient services,

Plan Response: The Plan confirms that there are no inpatient or outpatient services available at the Terminating Hospital that are not also available at the identified Alternate Hospitals.

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.

12. Please confirm if there are enrollees who have a residence or workplace within 15 miles or 30 minutes of a contracted hospital prior to termination, but will now have a residence or workplace beyond 15 miles or 30 minutes of a contracted hospital post-termination?

Plan Response: The Plan confirms that no enrollees will reside or work beyond 15 miles or 30 minutes from a contracted hospital as a result of the termination.

13. Please confirm the medical groups that do not utilize the Terminating Hospital as a primary hospital, but have admitted enrollees for the most recently completed calendar year, are able to refer their enrollees to other hospitals within the Plan's network for services comparable to those provided by the Terminating Hospital.

Plan Response: The Plan confirms that there were no medical groups that admitted enrollees to the Terminating Hospital during the most recently completed calendar year.

14. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.

Plan Response: The Plan confirms that zero (0) enrollees have procedures scheduled and authorized at the Terminating Hospital following the termination date.

15. Please confirm that the Plan will provide notice of the contract termination to the following:

- a. All contracted providers and provider groups that may be affected by the contract termination, including, but not limited to, primary utilizers of the Terminating Hospital (specify the providers),

Plan Response: The Plan confirms that it will provide notice of the contract termination to all contracted providers and provider groups that may be affected.

The Plan confirms that there are no primary utilizers of the Terminating Hospital based on prior calendar year admissions and bed days.

Please submit the Plan's response by **Friday, March 6, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,

Elizabeth Doyle

Elizabeth Doyle
Analyst II
Office of Plan Monitoring